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File No: EXP202201231

RESOLUTION OF TERMINATION OF THE PROCEDURE DUE TO VOLUNTARY PAYMENT

From the procedure initiated by the Spanish Agency for Data Protection and based on the following

BACKGROUND

FIRST: On January 17, 2023, the Director of the Spanish Agency for Data Protection agreed to initiate sanctioning proceedings against ENDESA ENERGÍA, S.A.U. (hereinafter the claimed party). The initiation agreement was notified, and after analyzing the allegations presented, on August 29, 2023, the resolution proposal was issued, which is transcribed below:

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File No: EXP202201231

PROPOSAL FOR RESOLUTION OF SANCTIONING PROCEDURE

From the procedure initiated by the Spanish Agency for Data Protection and based on the following:

BACKGROUND

FIRST: Mr. A.A.A. (hereinafter, the claiming party) filed a complaint with the Spanish Agency for Data Protection on 01/17/2022. The complaint is directed against ENDESA ENERGÍA, S.A.U. with NIF A81948077 (hereinafter, the claimed party). The reasons for the complaint are as follows: The claimant states that on 08/08/2021, he received a letter from his energy supplier IBERDROLA CLIENTES, S.A.U. (hereinafter IBERDROLA), urging him not to leave the entity as a request for a contract change to the claimed entity had been received. He indicates that he did not request a change of gas and electricity supplier, nor did he authorize such a change; upon visiting the claimed party, he was informed that the new contract was made online, in his father's name (deceased as per the attached death certificate).

He attaches to his writing:

- Complaint against the claimed party and response dated August 20, 2021, informing him that the only possible solution is to re-register with his previous company.
- Electricity supply contract with IBERDROLA (hereinafter, outgoing marketer)

SECOND: In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights (hereinafter LOPDGDD), the complaint was forwarded to the claimed party for analysis and to inform this Agency within one month of the actions taken to comply with the requirements set forth in data protection regulations.

The forwarding, which was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), was recorded on March 4, 2022, as evidenced by the acknowledgment of receipt in the file.

In its response, the claimed party stated that it had contacted the claimant to clarify the facts and resolve any issues; that on June 17, 2021, a request for electricity supply was received through the website in the name of a third party, for the supply point located at ***ADDRESS.1, providing the data to carry out the procedure, including a bank account number.

However, this contract has been canceled since January 23, 2022, and in light of the facts presented in the complaint, the cancellation and refund of the invoices issued for the period during which this contract was in force are being processed; that notwithstanding the fact that the questioned contract had sufficient elements that endowed it with authenticity and validity, the entity has been urged to review the telematic contracting procedure, with the aim of introducing more authentication elements that reduce the possibility of incidents like the one that occurred.

THIRD: On March 17, 2022, in accordance with Article 65 of the LOPDGDD, the complaint filed by the claiming party was admitted for processing.

FOURTH: The General Sub-Directorate for Data Inspection proceeded to carry out preliminary investigation actions to clarify the facts in question, by virtue of the functions assigned to control authorities in Article 57.1 and the powers granted in Article 58.1 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and in accordance with the provisions of Title VII,

Chapter I, Section Two, of the LOPDGDD, being aware of the following points:

On April 4, May 6, and June 28, 2022, requests for information were made to the claimed party. The responses to these requests were received at the electronic headquarters of the AEPD on April 27, May 30, and July 19, 2022, respectively.

On June 8, 2022, a request for information was made to I-DE REDES ELÉCTRICAS INTELIGENTES, S.A.U. (hereinafter i-DE); on June 22, 2022, its response was received at the AEPD.

On June 29, 2022, a request for information was made to the outgoing marketer, and on July 13, 2022, its response was received at the AEPD.

On July 26, 2022, a request for information was made to the banking entity Caja Laboral Coop. De Crédito, and on July 28, 2022, its response was received at the AEPD.

- Regulatory framework

Royal Decree 1435/2002, of December 27, regulating the basic conditions of contracts for the acquisition of energy and access to low voltage networks, as well as the Third Additional Provision of Royal Decree 1074/2015, and the Resolutions of the National Commission of Markets and Competition (hereinafter, "CNMC") of December 20, 2016, and December 17, 2019, by which

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The formats for the information exchange files between distributors and marketers of electricity and natural gas are approved.

According to the respondent, the situation referred to in this file was subject to the provisions established for the standardized operational process "C2-Change of Marketer with Modifications in the Access Contract," as it involved the change of ownership of the supply contract.

- Electricity Supply Contracting Channel

The respondent indicates that the procedure for changing the marketer to the party claimed was a result of an unassisted telematic contracting that began with the request of the new client on their website dated 06/17/2021.

A screenshot is provided with the details of the request where it is verified that in the field Change of Ownership it indicates NO.

- Telematic Contracting Procedure for Electricity Supply

The respondent claims to have followed the procedure established for unassisted telematic contracting, Procedure DIGITAL CHANNELS: TREATMENT AND MANAGEMENT OF CLIENT DATA IN SALES, CONTRACTING, AND CUSTOMER SERVICE. Version 1. Date 05/25/2018. This procedure was sent to this Agency on 04/27/2022, and the following is a partial reproduction of what is established in its section 4. Operations in Contracting Processes:

4.A. Client/Non-client Identification Procedure

Prior to carrying out any contracting, requirements are established to verify the identity of the client (current or potential), and data and documents are collected to provide legal support for the contracting.

The operational cases for client identification and the data and documents collected are detailed below.

4.A.3. Non-client Identification Procedure

The procedure for identifying a non-client in the contracting process is as follows:

1. Confirmation of ownership is requested, including the full name, ID number, supply point address, mobile and landline phone numbers, email, billing address, contracted power, and other technical data of the supply point, and bank account number.

4.B. Data and Documents to be Collected in Contracting

The data and documents collected in the contracting on the website are as follows:

1. Full name, ID number, client address, mobile and landline phone numbers, email, billing address, supply point address, contracted power, and other technical data of the supply point, and bank account number are requested.

2. The respondent company sends the client the SEPA form to formalize the bank direct debit through the contact method selected by the client (email or other means).

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3. The data provided by the client is cross-checked with the data available in the internal system of the respondent entity and is stored in the internal system of the respondent entity.

4.C. Verification of Collected Data and Documents

In general terms, the information is cross-checked as detailed in the client identification process (section 4.A.)

4.D. Measures that Certify the Contracting

The measures adopted to certify the contracting are detailed below:

1. The data included in the documentation received from the client is contrasted with the data available in the internal system of the respondent entity.

2. The IP address from which the transaction was made and the moment (Timestamp) is recorded. Furthermore, the respondent indicates on 05/30/2022 that in unassisted telematic contracting, it is presumed that it is the interested party who completes the contracting form available on the website and who provides all the necessary data to carry out the procedure, namely, their name and surname, ID number, email address, phone number, supply point address, CUPS, and their current account number for direct debit of the invoices—therefore, no additional confirmation from the interested party is required.

It adds that in the case at hand, since the contracting had sufficient elements that endowed it with authenticity and validity, on July 10, 2021, the mentioned supply contract was effectively registered in the systems of the respondent party in the name of the new owner, which the claiming party certifies is their deceased father.

• Evidence of Unassisted Telematic Contracting

The respondent provides screenshots of the process followed in a digital contracting:

- The screenshots show that the form consists of four steps; in the first, the details of the owner are requested; in the second, the details related to the supply; in the third, a summary of the contract is presented, which includes, among others, the details of the owner and the electricity supply point for review, and acceptance of the contracting conditions is collected; and in the fourth step, payment details are presented, and a review of these is requested.

- Subsequently, a screen is shown that informs that the request has been registered and that an email with all the details of the request has been sent.

A screenshot of the communication from the respondent with the details of the request is provided, and it is verified that the details of the owner, name, surname, and ID number, are those of the claimant's father and that the CUPS of the electricity supply data is that of the claimant's residence. Furthermore, in the field Change of Ownership, it indicates NO.

• Contracts Associated with the CUPS of the Claimant's Residence

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The outgoing marketer informs that on 09/07/2021 the electricity contract associated with the CUPS ***REFERENCE.1 was terminated due to a change of marketer; whereas the gas supply contract associated with the CUPS ***REFERENCE.2 remains active in the name of the claimant.

The electricity distribution company, i-DE, informs and certifies that:

- On 07/07/2021, it received a request for supply activation from the responding party, which was automatically rejected for the reason "Existing prior contract in force," since said supply had been

active since at least the year 2010. The contract was active and marketed by the outgoing marketer to the claimant, by virtue of a request dated 21/03/2019 for a change of ownership due to transfer from the outgoing marketer to the claimant; previously, the ownership was held by the claimant's father.

- Subsequently, on 09/07/2021, the responding party made a request for a change of marketer with contractual changes, requesting a change of ownership due to transfer to the claimant's father; the change of marketer was accepted and activated effective from that same date. The contract has remained unchanged since that date.

The responding party informs that once it received, from the electricity distribution company, the communication rejecting its request for "Activation of a supply point" with the reason for rejection "Existence of prior contract in force," it checked on the distributor's portal that the address associated with the CUPS of the claimant's residence matched the address associated with the CUPS in its internal systems and generated a new request for "Change of marketer with modifications in the access contract."

In the documentation provided by the responding party, it is not indicated or certified that the new holder was requested to verify the provided data.

On 19/07/2022, the responding party submitted the electricity supply contract associated with the CUPS of the claimant's residence, dated 10/07/2021 and not signed by the customer.

In the submitted contract, it is verified that in the CLIENT DATA field (Holder of the Supply Policy) the name, surname, and ID number of the claimant's father are included; in the SUPPLY POINT DATA field, the CUPS of the claimant's residence, and in the PAYMENT DATA field, a bank account code (***REFERENCE.3), which matches the one listed in the telematic contracting request, which the banking entity Caja Laboral Coop. de Crédito informs is not valid, as there is no account in the entity with that number.

The responding party informs that the contract was in force from 10 July until 23/01/2022, at which point it was terminated due to a change of marketing company.

- Invoices issued by the responding party and SEPA form completed for the bank direct debit

The responding party provides copies of the four invoices that were issued during the period in which the contract was in force.

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In these invoices, it is verified that the visible numbers of the IBAN match those of the bank account code included in the PAYMENT DATA field of the submitted contract.

Regarding the mandate code of the invoices, the banking entity indicates that it is correct and that the four receipts were sent to Caja Laboral Popular Coop. de Crédito, but since they were sent to an account with an incorrect IBAN number, they were returned with the reason for return "Invalid IBAN."

The responding party informs that according to their systems, the SEPA form was sent correctly to the new holder; however, it does not appear to be registered in the systems as completed by the client.

It is then evident that the data and documents collected from the client were not verified as established in the procedure DIGITAL CHANNELS: TREATMENT AND MANAGEMENT OF CLIENT DATA IN SALES, CONTRACTING, AND CUSTOMER SERVICE provided by the responding party.

FIFTH: On 01/17/2023, the Director of the Spanish Agency for Data Protection agreed to initiate sanctioning proceedings against the respondent for the alleged infringement of Article 6.1 of the GDPR, sanctioned in accordance with the provisions of Article 83.5.a) of the aforementioned Regulation.

SIXTH: Once the initiation agreement was notified, the respondent requested, by means of a letter dated 01/20/2023, an extension of the deadline to submit allegations and propose relevant evidence; a deadline that was granted by the instructor's letter dated 01/24/2023.

On 10/28/2021, the respondent submitted a letter of allegations stating, in summary, that in this case, they had limited themselves to attending to the request for contracting through the entity's website for the address indicated therein; the absence of unlawfulness since the questioned contracting met all

the requirements established in the regulations and gave it the appearance of truthfulness and consent of the consumer, with the effective registration in the entity in the name of the claimant, not being able to appreciate unlawfulness in the conduct of the respondent; the absence of culpability as there was no deceit, fault, or lack of diligence on the part of the respondent; subsidiarily, and in the event that the previous allegations are not understood, a reduction of the proposed sanction should be made; likewise, the inappropriateness of applying the circumstances of paragraphs a) and k) of Article 83.2 GDPR and taking into account the circumstances of paragraphs c) and f) of Article 76.2 LOPDGDD. SEVENTH: On 07/19/2023, it was agreed to open a period for the practice of evidence, agreeing on the following:

- To consider reproduced for evidentiary purposes the complaint filed by the claimant and its documentation, the documents obtained and generated by the Inspection Services that are part of the file.
- To consider reproduced for evidentiary purposes, the allegations to the initiation agreement presented by the respondent and the accompanying documentation.
- To request TELEFONICA DE ESPAÑA, S.A.U., to provide the contract for the fixed telephone line ***TELEFONO.1 and information on the holder or holders of the line.
- To request EDIS.at to provide data on the ownership of the IP ***IP.1 on 06/17/2021 at 15:25:51.844

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EIGHTH: From the actions taken in the present procedure, the following have been established, PROVEN FACTS

1. On 01/17/2022, a letter from the complainant was received by the AEPD in which he stated that on 08/08/2021 he had received a letter from his gas and electricity supplier company (IBERDROLA) urging him not to leave as a request for a change of contract with the respondent had been received, indicating that he had not requested the change of supplier, nor had he authorized its change; when explanations were requested from the respondent, they informed him that the new contract had been made through the company's website in his father's name, which is unlikely since he had passed away on that date.
2. A copy of the death certificate of the complainant's father dated 02/11/2021 has been submitted.
3. It is recorded that on 08/24/2021, the complainant sent an email to the respondent informing about the claimed facts and requesting a response regarding the incident caused.
4. The respondent, in an email dated 08/20/2021, responded that "...the only solution to return to Iberdrola is to re-contract with them and you can only do this by contacting them. Another option is to withdraw from the contract with Endesa, but if more than 15 days have passed, you will not be able to do so because it is the minimum period established for withdrawal. I'm sorry. In fact, to make contracts, there must be consent and the corresponding signature of the client. Therefore, it is not possible that the change was made without consent. I apologize again for all this mess..."
5. The electricity supply contract signed by the complainant with IBERDROLA dated 07/31/2020 for the CUPS ***REFERENCE.1 has been submitted.
6. The complainant addressed the GOVERNMENT OF NAVARRA, Consumer and Arbitration Service, complaint ***REFERENCE.4, outlining the previously described facts. In its response to the aforementioned body, the respondent indicated that: "...the appropriate checks have been carried out in order to resolve the complaint raised by the complainant. Regarding this request to initiate arbitration proceedings, we inform you that we do not accept the proposed arbitration for the reason detailed below:

We inform you that Endesa Energía is adhered to the Arbitration System for Consumer complaints related to domestic consumers regarding the contracting process, billing, collection, and customer service, expressly excluding any dispute related to generation and/or distribution networks for which the marketer is not directly responsible, such as those related to readings, network extension, granting access to third parties to the network, supply interruptions, and damages arising from problems in

supply quality, regulatory inspections, and any service, as well as matters related to energy poverty and the social bonus.

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We observe that the claim does not comply with the agreement established in Law 7/2017 on Alternative Dispute Resolution in Consumer Matters due to the lack of prior complaint for the same reason; however, we proceed with its management without addressing the proposed arbitration.

(...)

7. There is a communication sent by the respondent to the claimant on 03/03/2022 following the complaint filed with the AEPD in which it informed that: “on June 17, 2021, there is a request in the company's system for the activation of the electricity supply contract in the name of Mr. B.B.B., for the supply point located at ***ADDRESS.1, with the Universal Supply Point Code (hereinafter “CUPS”) ***REFERENCE.5. This request was made through the website of the Data Controller by completing the required contracting form in which all necessary data to carry out the procedure was provided...”

8. In the respondent's systems, there is a computer record of the request for the activation of the electricity supply for CUPS ***REFERENCE.6 made electronically via the web in the form that includes the name and surname of the deceased; the address, NIF, landline phone, email address, account number, IP address, date, and time of the request are not recorded.

9. The respondent, as a result of the contracting, issued the following invoices that went unpaid:

Invoice No.:

PMP101N1336800, from 10/07/2021 to 23/08/2021, for €34.43

PMP201N0165553, from 23/08/2021 to 21/10/2021, for €43.07

PMP201N0316277, from 21/10/2021 to 22/12/2021, for €45.43

PMP209N0007098, from 22/12/2021 to 23/01/2022, for €27.41

10. There is an internal note from the Commercial Office of the respondent stating that: “...as a result of the complaint filed by the claimant for having activated a contract, through the web channel, in the name of his deceased father, at the supply point of which the claimant himself is the holder, without his consent, we inform you of the need to strengthen the telematic contracting process, introducing more authentication elements with the aim of avoiding incidents like the one at hand.”

11. A copy of the Register of Personal Data Processing Activities and a copy of the Risk Analysis or Assessment has been submitted.

12. Caja Laboral Popular Cooperative Credit in a letter dated 28/07/2022 has stated that: “...in response to the information request with file number EXP202201231, we inform you that the account number ***REFERENCE.3 is not valid; there is no account in Caja Laboral Popular Coop. de Crédito with that number. On the other hand, we indicate that the mandate code ***REFERENCE.7 is correct, and with it, the receipts indicated in the information request arrive at Caja Laboral Popular Coop. de Crédito, but, since they are sent to an account with an incorrect IBAN number, they are returned with the return reason “Invalid IBAN.”

13. The respondent requested on 27/09/2021 from the distribution company via email, the restoration of the claimant's CUPS to restore the supply with his previous marketer, stating that: “An erroneous contract has been generated in favor of the current customer, who has claimed that he wishes to return to his previous marketer. Therefore, we request the restoration of CUPS ***REFERENCE.6 and that it be returned to the same conditions it had before the transfer to the respondent.”

14. I-Redes in a letter dated 20/06/2022 has stated that: “July 7, 2021. Request from the Marketer ENDESA ENERGIA SAU for a new activation in the name of B.B.B. with NIF ***NIF.1. Request rejected because the supply has a valid contract with service and a new A3 or activation is not applicable. Subsequently, on July 9, 2021, the respondent requested a change of marketer with contractual changes, requesting a change of holder by transfer to Mr. B.B.B., which was accepted and the change of marketer was activated effective from that same date. The contract has remained unchanged since that date to the present.”

LEGAL GROUNDS

I

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on Personal Data Protection and the guarantee of digital rights (hereinafter, LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states that: "The procedures processed by the Spanish Agency for Data Protection will be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development, and, to the extent that they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

The claimed facts are concretized in the impersonation in the contracting of the electricity supply located at the claimant's address, who did not make any request to change the gas and electricity supplier, nor authorized its change, which could violate the regulations on the protection of personal data.

Article 58 of the GDPR, Powers, states:

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"2. Each supervisory authority shall have all of the following corrective powers indicated below:

(...)

i) impose an administrative fine in accordance with Article 83, in addition to or instead of the measures mentioned in this paragraph, depending on the circumstances of each particular case;

(...)"

III

Article 6, Lawfulness of processing, of the GDPR in its paragraph 1, establishes that:

"1. Processing shall be lawful only if at least one of the following conditions is met:

a) the data subject has given consent to the processing of their personal data for one or more specific purposes;

b) processing is necessary for the performance of a contract to which the data subject is a party or to take steps at the request of the data subject prior to entering into a contract;

c) processing is necessary for compliance with a legal obligation to which the controller is subject;

d) processing is necessary to protect the vital interests of the data subject or of another natural person;

e) processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the controller;

f) processing is necessary for the purposes of the legitimate interests pursued by the controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, in particular when the data subject is a child.

The provision in letter f) of the first paragraph shall not apply to processing carried out by public authorities in the performance of their tasks."

On the other hand, Article 4 of the GDPR, Definitions, in its paragraphs 1, 2, and 11, states that:

1) "personal data": any information relating to an identified or identifiable natural person ("the data subject"); an identifiable natural person is one who can be identified, directly or indirectly, in particular by reference to an identifier, such as a name, an identification number, location data, an online identifier, or one or more factors specific to the physical, physiological, genetic, mental, economic, cultural, or social identity of that natural person;

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"2) 'processing': any operation or set of operations which is performed on personal data or on sets of

personal data, whether or not by automated means, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, disclosure by transmission, dissemination or otherwise making available, alignment, combination, restriction, erasure or destruction;

“11) ‘consent of the data subject’: any freely given, specific, informed, and unambiguous indication of the data subject's wishes by which they, by a statement or by a clear affirmative action, signify agreement to the processing of personal data relating to them.”

IV

The infringement attributed to the respondent is classified in Article 83.5 a) of the GDPR, which considers that the infringement of “the basic principles for processing, including the conditions for consent under Articles 5, 6, 7, and 9” is subject to sanction, in accordance with paragraph 5 of the aforementioned Article 83 of the cited Regulation, “with administrative fines of up to €20,000,000 or, in the case of an undertaking, an amount equivalent to 4% of the total annual global turnover of the preceding financial year, opting for the higher amount.”

The LOPDGDD in its Article 71, Infringements, states that: “Acts and conduct referred to in paragraphs 4, 5, and 6 of Article 83 of Regulation (EU) 2016/679, as well as those that are contrary to this organic law, constitute infringements.”

And in its Article 72, it considers for the purposes of prescription, that they are: “Infringements considered very serious:

1. Based on what is established in Article 83.5 of Regulation (EU) 2016/679, infringements that involve a substantial breach of the articles mentioned therein are considered very serious and shall be subject to a three-year statute of limitations, particularly the following:

(...)

b) The processing of personal data without any of the conditions for lawful processing established in Article 6 of Regulation (EU) 2016/679.

(...)”

V

1. It should be noted that the processing of data requires the existence of a legal basis that legitimizes it.

In accordance with Article 6.1 of the GDPR, in addition to consent, there are other possible bases that legitimize the processing of data without the need for the authorization of its owner, in particular, when it is necessary for the

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Execution of a contract in which the affected party is a party or for the application, at their request, of pre-contractual measures, or when necessary for the satisfaction of legitimate interests pursued by the data controller or by a third party, provided that such interests do not prevail over the interests or the fundamental rights and freedoms of the affected party that require the protection of such data. The processing is also considered lawful when necessary for compliance with a legal obligation applicable to the data controller, to protect vital interests of the affected party or another natural person, or for the performance of a task carried out in the public interest or in the exercise of public powers conferred on the data controller.

From the documentation in the file, it is evident that the respondent has violated Article 6.1 of the GDPR, by causing the termination of the electricity supply contract that the claimant had with the company IBERDROLA, registering their deceased father as the contractor for the same address and CUPS, without any legitimate basis for processing the data as contemplated in the aforementioned article.

In this regard, the National Court stated in its ruling of 18/11/2022, Appeal 590/2022, “...That is to say, for the processing to be lawful, personal data must be processed with the consent of the data subject or on some other legitimate basis established in accordance with the law, and it is certainly necessary that the data processor is aware of the consent of the person granting it and in the context in which it is given.

None of this occurs in the present case; there has been no consent from the claimant for the modification of the contract, consent which is defined as “Any manifestation of will, free, unequivocal,

specific, and informed, by which the data subject consents to the processing of personal data concerning them." And it has not been proven by the plaintiff that such consent existed as required by Article 7.1."

2. The respondent has several contracting channels:

- Digital Channels: Endesa Energía website (www.endesa.com) and the mobile application ("APP").
- Assisted Digital Channels: a set of telematic channels through which the customer can access information regarding the various products and services of Endesa Energía (for example, chat, email, Twitter and Facebook accounts, WhatsApp, and "click to call" systems managed through banners).
- CAT Reception: channel for the sale and customer service of Endesa Energía via telephone, which handles calls proactively made by the interested party.
- CAT Emission: sales channel of Endesa Energía via telephone through outgoing calls from the company.
- Commercial Agents Channel: sales channel, either in person at a physical location or via telephone, through Endesa Energía providers acting as data processors.
- Allies Channel: sales channel, either in person at a physical location or via telephone, through collaborators with whom commercial alliances have been reached.

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In a document dated 27/04/2022, it is stated that "In this regard, to request a change of supplier, it is not necessary to provide information and documentation other than that which is required to carry out a new contract and verify identity."

In connection with the above, in a case such as the one we are examining, where a change of supplier was requested along with a simultaneous change of account holder, especially after the first request for a change of supplier was rejected due to a new registration, it requires that the entity not only comply with the specific regulations of the electricity sector but also carry out a minimum due diligence to verify that the documentation and the person attempting to contract is who they claim to be and to effectively manage the requested change.

It should be noted that various legal norms impact this matter, among which the Directive (EU) 2019/944 of the European Parliament and of the Council, dated 5/06/2019, on common rules for the internal market for electricity and which amends Directive 2012/27/EU (hereinafter, Directive 2019/944), is noteworthy. Article 23, "Data Management," states in paragraph 3 that "The processing of personal data under this Directive shall be carried out in accordance with Regulation (EU) 2016/679"; Royal Decree 1955/2000, of December 1, which regulates the activities of transport, distribution, marketing, supply, and authorization procedures for electricity installations; Royal Decree 1435/2002, which regulates the basic conditions of contracts for the acquisition of energy and access to low voltage networks, dedicating its Article 7 to the "Information System of Supply Points that the distributor must maintain" (SIPS); Royal Decree 1011/2009, which regulates the Supplier Change Office, which is tasked with, among its functions (Article 3.s)), verifying the effective consent of consumers to the change of supplier; Law 24/2013, of December 26, on the Electricity Sector; the Third Additional Provision of Royal Decree 1074/2015; and the Resolution of the National Commission of Markets and Competition dated 17/12/2019 "by which the new formats of the information exchange files between distributors and marketers are approved and the Resolution of 20/12/2016 is modified." The AEPD has stated regarding the nature of the data from the electric SIPS that "the Information System of Supply Points incorporates personal data, since from the Supply Point Code it is possible to identify the consumer to whom the information refers, thus linking all the content of the system with that consumer."

The National Commission of Energy (CNE) has considered through its reports that the incoming marketer is the sole interlocutor of the consumer during the change process, as it favors the simplicity of the procedure and reduces possible barriers to change, and that the incoming marketer must be responsible for handling the change and safeguarding the documentation that unequivocally proves

the customer's consent.

In its report dated 28/02/2013 - in response to a query raised by an association regarding the accreditation of rightful title in the processes of supply change and change of contract holder with network access - it states that the

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The incoming marketer is the sole interlocutor of the consumer during the change process. The CNE adds in its report:

“Thus, Order ITG/1659/2009 places the obligation on the marketer to have at all times the documentation that proves the customer's intention to change suppliers in its favor. In this regard, Royal Decree 1011/2009 in its section q) introduces among the functions of OCSUM the verification of the effective consent of consumers to the change of marketer, while in section p) and Order ITC/1659/2009 grants OCSUM the authority to require all documentation necessary to verify the proper application of the process and its authenticity.”

And finally, the CNE report concludes as follows: “Therefore, the new holder must prove the rightful title to proceed with a transfer of the access contract to the network, and the marketer must safeguard and verify the documentation, particularly for those cases where a change of marketer is requested with a simultaneous change of holder, with OCSUM having the authority to require all documentation to verify the change process.”

Now, in the present case, a series of facts occur that demonstrate that the respondent has acted with absolute lack of diligence in fulfilling its obligations. It would have sufficed for said entity to comply with its specific regulations, according to which it should have verified the documentation and identified the new user, retaining the title under which the person requesting to be the new holder supported their application for the contract linked to the CUPS of the claimant's residence.

In this regard, in the telematic contracting carried out, the respondent presumes that it was the interested party who completed the contracting form available on its website and who provided all the necessary data to carry out the procedure, including name and surname, ID number, email address, phone number, the address of the supply point, CUPS number, and their bank account number for direct debit of the invoices; not considering it necessary in any case to carry out an additional confirmation by the interested party.

The processing carried out by the respondent of the personal data of the claimant, materialized in the cancellation of the electricity contract signed with the marketer IBERDROLA for the CUPS of their residence, did not have any legitimizing basis as contemplated in Article 6.1 of the GDPR, subsumable under Article 72 of the LOPDGDD, which establishes that the following are considered very serious infringements:

b) The processing of personal data without any of the conditions for lawful processing established in Article 6 of Regulation (EU) 2016/679 being met.”

3. As previously mentioned, the contracting of electricity supply with the respondent can be carried out through different channels; in the present case, it was requested through the web channel for the initiation of the electricity supply for C/ Jorge Juan, 6

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the claimant's residence that was processed, initially as a new registration with a change of supplier, model A1, in accordance with the provisions of the CNMC Resolution 17/12/2019 "which approves the new formats of the information exchange files between distributors and marketers and modifies the Resolution of 20/12/2016."

This procedure is carried out exclusively with the intervention of the new marketer (in this case, the respondent) as it is the one that interacts with the new customer, manages the change of ownership

and marketer, and is obliged to collect from the new customer the documentation proving they are the effective user of the residence, as well as to keep it available for the distributor and the Supplier Change Office (OCSUM).

The protocol for managing the change of marketer with a change of ownership assigns the incoming marketer the status of sole interlocutor for the customer and the responsibility to execute all necessary actions for managing the change.

Regarding the CUPS number of the claimant's residence, this data is not linked to a person but to a specific residence and, moreover, is held by the local distributor (along with the name, surname, NIF, and habitual address of the user of the residence) as provided for in Royal Decree 1435/2002, in its article 7.

In this regard, upon the request for contracting a new customer, the respondent must confirm with the customer whether it is a new registration – because the supply has been canceled – or a change of marketer.

If it is a change of marketer, it must confirm whether they are the current holder of the supply contract. Additionally, it must collect the data and documentation necessary to carry out the contracting and manage the change of marketer procedure.

It is recorded that I-REDES received on 07/07/2021 a request from the respondent for the supply registration for the CUPS ***REFERENCE.1 corresponding to the claimant's address at ***ADDRESS.1, which was automatically rejected for the reason "Existing contract in force," since the supply for the CUPS corresponding to the address was already registered and therefore it was not appropriate to carry out an A3 or new registration.

The contract was registered with IBERDROLA, the outgoing marketer, by virtue of a request dated 21/03/2019 for a change of ownership due to the transfer from the outgoing marketer to the claimant; previously, the ownership was held by the claimant's father.

Following the distributor's rejection, the respondent two days later, on 09/07/2021, generated a new request, change of marketer with change of ownership, model C2, for transfer to Mr. B.B.B., which was accepted and the change of marketer was activated effective from that same date.

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Therefore, it is disconcerting that instead of verifying the accuracy of the data, the method of changing the supplier was modified to that of changing the holder, so that this could be materialized, despite the fact that the respondent claims to have followed the established procedure upon verifying that the address associated with the CUPS in the distributor matched the address associated with the CUPS in the internal systems of the respondent.

4. From the documentation provided, it is deduced not only the lack of diligence on the part of the respondent, as there is no record that they requested confirmation and verification of the data from the new holder, but also of the very protocol or procedure implemented to carry out a correct identification of the user in the contracting process through the online channel.

In this same regard, the Commercial Office of the respondent stated in an internal note that: "...as a consequence of the complaint filed by the claimant for having registered a contract, through the web channel, in the name of his deceased father, at the supply point of which the claimant himself is the holder, without his consent, we communicate the need to reinforce the telematic contracting process, introducing more elements of authentication in order to avoid incidents like the one we are dealing with."

Therefore, despite the respondent's statements that the questioned contracting was deemed valid as it had elements that endowed it with authenticity and validity, it does not seem that the actions taken were exemplary in light of the facts established in the procedure: the contracting user, the father of the claimant, had passed away on the date of formalization of the contract, as evidenced by the death

certificate provided; the electricity supply contract associated with the CUPS of the claimant's residence, dated 10/07/2021, is not signed by the contractor; the contract includes the name, surname, address, and ID number of the claimant's father, although the address does not appear in the telematic contracting; the bank account code (**REFERENCIA.3), which matches the one listed in the telematic contracting request, has been reported by the banking entity Caja Laboral Coop. de Crédito as invalid, as there is no account in the entity with that number; the fixed phone number provided has the prefix corresponding to Barcelona ***TELEFONO.1; the email address ***EMAIL.1 does not seem to identify with the contractor; the four invoices issued during the period in which the contract was in force could not be paid according to the statements of the respondent, and although it is recorded in their computer systems that the SEPA form was sent to the new holder, it is not registered in the systems as completed by the client, etc.

All of this evidences the absence of diligence on the part of the entity and the evidence that the client's data and documents were not verified as established in the procedure CANALES DIGITALES: TRATAMIENTO Y GESTIÓN DE DATOS DEL CLIENTE EN LA VENTA, CONTRATACIÓN Y ATENCIÓN provided by the respondent in a document dated 27/04/2022.

Therefore, the actions contrary to Article 6.1 of the GDPR must be attributed to the respondent for violating the principle of lawfulness in the processing of data, which requires the existence of a legal basis that legitimizes it, an infringement that resulted in the

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The CUPS linked to the claimant's residence was used to register the supply contract of his deceased father, resulting in the cancellation of the contract that the claimant had signed with IBERDROLA in 2020.

VI

In order to establish the administrative fine that should be imposed, the provisions contained in Articles 83.1 and 83.2 of the GDPR must be observed, which state:

“1. Each supervisory authority shall ensure that the imposition of administrative fines under this article for the infringements of this Regulation indicated in paragraphs 4, 5, and 6 are, in each individual case, effective, proportionate, and dissuasive.

2. Administrative fines shall be imposed, depending on the circumstances of each individual case, as an additional or substitute measure to those provided for in Article 58, paragraph 2, letters a) to h) and j). In deciding the imposition of an administrative fine and its amount in each individual case, the following shall be duly taken into account:

- a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing operation in question as well as the number of data subjects affected and the level of damage and harm they have suffered;
- b) the intentionality or negligence in the infringement;
- c) any measures taken by the controller or processor to mitigate the damage and harm suffered by the data subjects;
- d) the degree of responsibility of the controller or processor, taking into account the technical or organizational measures they have implemented pursuant to Articles 25 and 32;
- e) any previous infringement committed by the controller or processor;
- f) the degree of cooperation with the supervisory authority in order to remedy the infringement and mitigate the possible adverse effects of the infringement;
- g) the categories of personal data affected by the infringement;
- h) the manner in which the supervisory authority became aware of the infringement, in particular whether the controller or processor notified the infringement and, if so, to what extent;
- i) when the measures indicated in Article 58, paragraph 2, have previously been ordered against the

controller or processor in relation to the same matter, compliance with those measures;

j) adherence to codes of conduct under Article 40 or to approved certification mechanisms under Article 42, and

k) any other aggravating or mitigating factor applicable to the circumstances of the case, such as the financial benefits obtained or the losses avoided, directly or indirectly, through the infringement.”

In relation to letter k) of Article 83.2 of the GDPR, the LOPDGDD, in its Article 76, “Sanctions and corrective measures,” establishes that:

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“2. In accordance with the provisions of Article 83.2.k) of Regulation (EU) 2016/679, the following may also be taken into account:

a) The continuous nature of the infringement.

b) The connection of the infringer's activity with the processing of personal data.

c) The benefits obtained as a result of the commission of the infringement.

d) The possibility that the conduct of the affected party may have induced the commission of the infringement.

e) The existence of a merger by absorption after the commission of the infringement, which cannot be attributed to the absorbing entity.

f) The impact on the rights of minors.

g) Having, when not mandatory, a data protection officer.

h) The voluntary submission by the responsible party or processor to alternative dispute resolution mechanisms, in cases where there are disputes between them and any interested party.”

According to the transcribed provisions, for the purpose of determining the amount of the fine to be imposed in this case for the infringement classified in Article 83.5.a) and 6.1 of the GDPR for which the respondent is held responsible, an initial assessment considers the following concurrent factors:

As aggravating circumstances:

- The nature, severity, and duration of the infringement: the established facts severely affect a basic principle related to the processing of personal data, such as the lawfulness of the processing; the damages caused as a result of the intrusion into the claimant's sphere of privacy, as we must not forget that we are dealing with the infringement of a fundamental right to the protection of personal data; the claimant was forced to contact the marketing company as a result of the termination that occurred and was deprived of the contractual relationship they maintained with their supplying company, in addition to having to reapply for registration with the same and file a complaint with the AEPD for the same facts (Article 83.2.a) of the GDPR).

- The activity of the allegedly infringing entity is linked to the processing of data from both clients and third parties. In the activity of the claimed entity, the processing of personal data of its clients is essential, so given the volume of business of the same, the significance of the conduct subject to this claim is undeniable (Article 76.2.b) of the LOPDGDD in relation to Article 83.2.k).

- The responsibility of the respondent and the measures they had implemented in the telematic contracting process have failed, which justifies that the respondent has had to introduce new authentication elements to reduce the possibility of incidents like the one subject to the procedure from recurring (Article 83.2.d) of the GDPR).

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- The intentionality or negligence in the infringement, since the respondent, as previously mentioned, in no case proceeded to verify the identity and information provided by the contractor, absurdly validating

the contract with a deceased person. Also connected with the degree of diligence that the data controller is obliged to exercise in compliance with the obligations imposed by data protection regulations, the SAN of 17/10/2007 can be cited. Although it was issued before the entry into force of the GDPR, its pronouncement is perfectly extrapolable to the case we are analyzing. The ruling, after alluding to the fact that entities whose activities involve continuous processing of data from clients and third parties must observe an adequate level of diligence, specified that "(...). the Supreme Court has understood that there is negligence whenever a legal duty of care is disregarded, that is, when the infringer does not behave with the required diligence. And in assessing the degree of diligence, the professionalism or lack thereof of the subject must be especially weighed, and there is no doubt that, in the case now examined, when the activity of the appellant involves constant and abundant handling of personal data, it must be insisted upon the rigor and exquisite care to comply with the legal provisions in this regard" (Article 83.2, b) of the GDPR).

- The volume of business of the respondent, as it is one of the leading companies in the Spanish market, regarding its business object (Article 83.2. k) of the GDPR).

As mitigating circumstances:

- The number of affected individuals, as it is only recorded that the claimant has been affected.

In light of the above, the following

PROPOSAL FOR RESOLUTION

is issued by the Director of the Spanish Agency for Data Protection to sanction ENDESA ENERGÍA, S.A.U., with NIF A81948077, for an infringement of Article 6.1 of the GDPR, classified under Article 83.5.a) of the GDPR, with a fine of €70,000 (seventy thousand euros).

Furthermore, in accordance with the provisions of Article 85.2 of the LPACAP, it is informed that it may, at any time prior to the resolution of this procedure, make voluntary payment of the proposed sanction, which will entail a reduction of 20% of the amount thereof. With the application of this reduction, the sanction would be set at €56,000 (fifty-six thousand euros), and its payment will imply the termination of the procedure, without prejudice to the imposition of the corresponding measures. The effectiveness of this reduction will be conditioned upon the withdrawal or renunciation of any action or appeal in the administrative route against the sanction.

In the event that it opts to proceed with the voluntary payment of the amount specified above, in accordance with the provisions of the aforementioned Article 85.2, it must make it effective by depositing it into the restricted account No. IBAN: ES00-0000-0000-0000-0000-0000 (BIC/SWIFT Code: CAIXESBBXXX) opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A., indicating in the concept the reference number of the procedure that appears in the heading of this document and the reason, for voluntary payment, for the reduction of the sanction amount. Furthermore, it must send the proof of payment to the General Subdirectorate of Inspection to proceed to close the file.

By virtue of this, you are notified of the above, and you are informed of the procedure so that within TEN DAYS you may allege whatever you consider in your defense and present the documents and information you deem pertinent, in accordance with Article 89.2 of the LPACAP.

R.R.R.

INSPECTOR/INSTRUCTOR

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SECOND: On September 13, 2023, the respondent has proceeded to pay the fine in the amount of 56,000 euros, making use of the reduction provided for in the resolution proposal transcribed above.

THIRD: The payment made entails the waiver of any action or appeal in the administrative route against the fine, in relation to the facts referred to in the resolution proposal.

LEGAL GROUNDS

I

Competence

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on Personal Data Protection and the guarantee of digital rights (hereinafter, LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Agency for Data Protection will be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development, and, as long as they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

Termination of the procedure

Article 85 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter LPACAP), under the heading "Termination in sanctioning procedures" provides as follows:

- "1. Once a sanctioning procedure has been initiated, if the offender acknowledges their responsibility, the procedure may be resolved with the imposition of the appropriate sanction.
 2. When the sanction is solely of a pecuniary nature or when it is possible to impose a pecuniary sanction and another of a non-pecuniary nature but the impropriety of the latter has been justified, voluntary payment by the presumed responsible party, at any time prior to the resolution, will imply the termination of the procedure, except with regard to the restoration of the altered situation or the determination of compensation for the damages caused by the commission of the infringement.
 3. In both cases, when the sanction is solely of a pecuniary nature, the competent authority to resolve the procedure will apply reductions of at least 20% on the amount of the proposed sanction, which shall be cumulative. The aforementioned reductions must be specified in the notification of initiation of the procedure, and their effectiveness will be conditioned upon the withdrawal or waiver of any action or appeal in the administrative route against the sanction.
- The percentage of reduction provided for in this section may be increased by regulation."

In accordance with the above,

the Director of the Spanish Agency for Data Protection RESOLVES:

FIRST: TO DECLARE the termination of procedure EXP202201231, in accordance with the provisions of Article 85 of the LPACAP.

SECOND: TO NOTIFY this resolution to ENDESA ENERGÍA, S.A.U.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative route as provided for in Article 114.1.c) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, the interested parties may file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and paragraph 5 of the fourth additional provision of Law 29/1998, of July 13, regulating Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

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Mar España Martí

Director of the Spanish Agency for Data Protection

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